requirement to include the graphical representation of holdings in funds' annual and semi-annual reports? If we were to continue to permit funds to provide a summary schedule as part of their financial statements, should we also require these funds to make their complete portfolio holdings, as of the close of the fund's most recent second and fourth fiscal quarters, available on a website (in addition to the proposed requirement discussed below that funds make their first and third fiscal quarters' complete portfolio holdings available online)?[412] Should we permit a fund to make the summary schedule available online instead of the complete schedule of portfolio holdings? Why or why not?

139. Other than complete financial statements, is there any other financial information that funds should be required to file on N-CSR? Do investors and other market participants currently use the financial statement information that appears on EDGAR as part of funds' filed shareholder reports, and if so, how?

b. Financial Highlights

We are proposing to require funds to file their financial highlights information on Form N-CSR.[413] This information is identical to the information currently required in fund shareholder reports. We are proposing that funds would not include financial highlights information in their annual or semi-annual reports, with the exception of certain specific data points as discussed below.

Currently, funds are required to disclose the condensed financial information that Item 13(a) of Form N-1A requires (*i.e.,* financial highlights) in their annual and semi-annual

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412 *See infra* Section II.D.2.a.

413 *See* proposed Item 7(b) of Form N-CSR.

reports.[414] The financial highlights include a summary table of financial information covering the preceding five years (or since the fund's inception, if less than five years).[415] Under certain circumstances, a fund may incorporate by reference its financial highlights from a report to shareholders into its prospectus.[416]

The information contained in a fund's financial highlights is generally designed to help investors evaluate the fund's historical performance and fund manager's investment management expertise.[417] For example, disclosure of changes in a fund's total return over a five-year period is designed to give a shareholder information regarding the fund's performance trends over time (*i.e.*, volatile vs. steady returns).[418] Similarly, a higher portfolio

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414 *See* Items 27(b)(2) and 27(c)(2) of Form N-1A. *See also* Item 13(a) of Form N-1A.

415 The summary table contains information regarding changes in a fund's net asset value, total returns, portfolio turnover rate, and capital distributions, among other things, during the preceding five years. *See* Item 13(a) of Form N-1A.

416 *See* Instruction 4(e) to Item 13 of Form N-1A. A fund currently may incorporate the financial highlights from a shareholder report into the prospectus if the fund delivers the shareholder report simultaneously with the prospectus or if the shareholder report has been previously delivered to shareholders. A fund that incorporates the financial highlights by reference must include a statement in its prospectus explaining that: (1) additional information about the fund's investments is available in the annual and semi-annual reports to shareholders; (2) the fund's annual report provides a discussion of the market conditions and investment strategies that significantly affected the fund's performance during its last fiscal year; and (3) the fund's annual and semi-annual reports are available, without charge, upon request. A fund must also explain how shareholders may make inquiries to the fund, provide a telephone number for shareholders to call to request the annual or semi-annual report, and state whether the fund makes available its annual and semi-annual reports, free of charge, on the fund's website. *See* Item 1(b)(1) of Form N-1A.

417 *See* Improving Descriptions of Risk by Mutual Funds and Other Investment Companies, Investment Company Act Release No. 20974 (Mar. 29, 1995) [60 FR 17172 (Apr. 4, 1995)].

418 *See* How to Read a Mutual Fund Shareholder Report, *supra* footnote 316.

turnover rate may indicate higher transaction costs and may result in higher taxes when fund shares are held in a taxable account.[419]

While we would require funds to file the entirety of their financial highlights on Form N-CSR, we are also proposing to retain certain elements of the financial highlight information in funds' annual and semi-annual reports. These retained elements are those that we understand may be particularly helpful for shareholders to evaluate a fund's performance. This layered disclosure approach is designed to retain the financial highlight information that we believe would be most salient to retail shareholders in funds' shareholder reports, while preserving the entirety of this information on Form N-CSR for those shareholders to whom the broader information would be useful.[420] While one industry survey found that the average retail shareholder finds most of the items from the financial highlights section difficult to understand, this survey also concluded that a majority of shareholders found the total return and expense ratio information important for shareholders to monitor and assess their investments in a fund.[421] Accordingly, we are proposing that a fund would have to disclose its expense ratio in the "Fund Expenses" section of the proposed annual and semi-annual

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419 *Id.*

420 *See* 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 138 (noting that a few of the investors who were surveyed indicated that they saw value in the financial highlights information and stated that financial highlights provided them with a snapshot of the fund and important fund performance trend data that is easy to digest).

421 *See* ICI Comment Letter I (noting that shareholders from all age and income groups supported the inclusion of total return and expense ratio information in a summary shareholder report and indicated that it was important to include a graphical representation of these key measures. The survey also noted that two-thirds of mutual fund investors who read very little of the current shareholder report and found it difficult to understand, still indicated the total return and expense ratio chart was very important and needed to be kept in the summary shareholder report).

reports.[422] Also, while funds' shareholder reports would no longer include annual total returns for each of the preceding five years, the MDFP section of the annual report would continue to include certain information regarding a fund's annual total returns.[423] Shareholders also would continue to be able to assess performance trends over time using the performance line graph and performance table that would appear in the annual report.[424] Finally, we would require annual and semi-annual reports to include funds' disclosure of their net assets and portfolio turnover rate (which are also data elements from the fund's financial highlights) as of the end of the period covered by the report.[425] We believe that all of these data elements that would appear in the proposed annual and semi-annual reports would together serve as a snapshot—of both period-end data and data over time—that would provide retail shareholders with the financial highlights data that they have indicated they find most useful. Investors who want to continue to have access to all of the information that currently appears in funds' financial highlights would continue to be able to access this information on Form N-CSR and online.[426]

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422 *See* proposed Item 27A(c) of Form N-1A. The expense ratio would be based on the fund's net expenses under GAAP and would reflect any interest or dividend expense.

423 *See* proposed Item 27A(d)(2)(B) of Form N-1A. Our proposal would require a fund to continue to disclose its average annual total returns for the 1-, 5-, and 10-year periods as of the end of the last day of the most recent fiscal year (or for the life of the fund, if shorter) in its annual report, as funds do today.

424 *See supra* Sections II.B.2.c.ii, II.B.2.c.iii.

425 *See supra* Section II.B.2.d.

426 The information that would be available online includes detailed year-over-year comparisons over the past five years of per-share information associated with net investment income, net gains or losses on securities and distributions, as well as expense ratio, portfolio turnover and return information.

Item 13 of Form N-1A currently requires a fund to include financial highlights information in its prospectus, and an instruction to this item permits a fund to incorporate this information from a shareholder report under rule 30e-1 by reference into its prospectus.[427] Because, under the proposal, funds' shareholder reports would no longer include financial highlights, we are proposing to amend the current instruction to allow a fund to incorporate by reference into its prospectus its financial highlights from Form N-CSR.[428] For existing shareholders that have received the fund's shareholder report, a fund would be required to include a legend stating that additional information about the Fund's annual and semi-annual financial statements is available in Form N-CSR.[429] For new investors in the fund, the fund would be required to provide the fund's most recent shareholder report along with its prospectus.[430] This provision parallels the current provision that allows a fund to incorporate by reference its financial highlights from the fund's shareholder report.

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427 A fund may incorporate this information by reference if the fund delivers the shareholder report with the prospectus or, if the report has been previously delivered (*e.g.*, to a current shareholder), the fund includes the statement that Item 1(b)(1) of Form N-1A requires (*i.e.*, a statement that additional information about the fund's investments is available in the fund's annual and semi-annual reports to shareholders). *See* Instruction (4)(e) to Item 13 of Form N-1A.

428 *See* proposed amendments to Instruction (4)(e) to Item 13 of Form N-1A.

429 *See* proposed amendments to Item 1(b)(1) of Form N-1A. The required statement would state (among other things) that: (1) additional information about the fund's investments is available in the fund's annual report to shareholders and in Form N-CSR; (2) the fund's annual report and Form N-CSR are available, without charge, upon request. A fund must also explain how shareholders may make inquiries to the fund, provide a telephone number for shareholders to call to request the fund's annual report and Form N-CSR, and state whether the fund makes available Form N-CSR, free of charge, on the fund's website. *See* Item 1(b)(1) of Form N-1A.

430 *See* proposed amendments to Instruction 4(e) to Item 13 of Form N-1A, current Instruction 4(e) to Item 13 of Form N-1A (allowing a fund to incorporate by reference its financial highlights from its shareholder report into the prospectus so long as the fund delivers the shareholder report with the prospectus (*i.e.*, for new shareholders)). If the shareholder report has been previously delivered (*e.g.,* to a current shareholder), the fund must include a